

downward, then the target price would be 28.75, or the price of the lower trendline minus the height. Since the breakout is upward, add the height to the price of the top trendline, giving a target of 43.75. Price reaches the target about a month after the breakout.

The bottom portion of the table shows how often price reaches the target. In our example, we used the full height and it was in a bull market. According to the table, price should reach the target 78% of the time, on average. For a closer target, slice the height in half and insert it into the equation. Doing that boosts the success rate to 90%.

[Table 52.3](#) shows how that table can help when choosing a target. Read the discussion for that table for more information.

Tall rectangle scalp. If the rectangle is tall enough and providing you discover it quickly enough, you can trade the formation as it swings from trendline to trendline. Short or sell at the top trendline and cover or buy at the bottom trendline. I discussed doing this in [Figure 52.2](#), so read that section as an example.

Only attempt this if you're an experienced swing trader.

Other. Before placing a trade in a rectangle top, see if it is part of a larger pattern. Sometimes, the rectangle is the horizontal part, called the corrective phase, of a measured move up chart pattern. Knowing that a rectangle is a subpart of a measured move allows you to get a better gauge on the expected price move.

Stop location. [Table 52.7](#) shows the probability of price hitting a stop, based on various rectangle locations. Be sure to change the potential loss into a percentage of the current price to see if you can tolerate such a loss. A common stop-loss target is 8%.

Busted trade. Because the performance of the rectangle top isn't that good, consider trading busted downward breakouts in bull markets. Price must drop by no more than 10% below the bottom trendline, reverse, and close above the top of the rectangle. If price rises more than 10%, it's a single busted pattern. Single busts see an average rise of 71%. Also, single busted patterns occur 66% of the time, so you should be able to have some luck with this setup.